

# California Jury Swiftly Rejects Elon Musk's Lawsuit Against OpenAI

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A California jury needed just two hours to reject Elon Musk's high-profile lawsuit against OpenAI and its CEO Sam Altman, ending a three-week trial that aired the messy breakup between the tech titans. The **unanimous** verdict, delivered Monday, found that Musk had filed his claims after the legal deadline a **statute of limitations** had passed. Musk had accused Altman of betraying OpenAI's original non-profit mission by shifting the ChatGPT-maker into a for-profit company after Musk donated \$38 million. He argued that Altman deceived him, taking his money and then **reneging** on a promise to develop artificial intelligence for the benefit of humanity. "It's actually very simple," Musk testified on the trial's first day, wearing a dark suit. "It's not OK to steal a charity... If it's okay to **loot** a charity, the entire foundation of charitable giving will be destroyed." But Altman painted a different picture. He told jurors that Musk not only supported the for-profit pivot but demanded long-term control. "A particularly **hair-raising** moment was when my co-founders asked, 'If you have control, what happens when you die?' He said something like, 'maybe it should pass to my children,'" Altman testified. The jury also heard from Microsoft CEO Satya Nadella, as Musk had accused the tech giant of aiding the scheme. However, those claims were dismissed as a matter of law after the verdict. Outside the courthouse, OpenAI spokesman Sam Singer called the outcome a "tremendous victory" and said the lawsuit was "nothing but an effort by Mr. Musk to slow down a competitor." Attorney William Savitt, who represented OpenAI, said the jury decided Musk was lying about the company's origins. "We're pleased that the jury reached the right result, and reached it quickly," Savitt said. The verdict leaves OpenAI free to continue its controversial path as a **capped-profit** company, developing AI that it says will be safe and beneficial for all. Musk, who co-founded OpenAI in 2015 but left in 2018 after being denied control, has since started his own AI company, xAI. The case highlights the fierce competition and personal drama driving the AI industry's rapid evolution.

## Word Treasure

**statute of limitations** -- A law that sets a deadline for filing a lawsuit, after which a claim is usually barred.

**reneging** -- Going back on a promise or commitment.

**loot** -- To steal goods, especially during a chaotic situation or from an organization.

**capped-profit** -- A business structure that limits the amount of profit a company can keep, often to balance social mission and investor returns.

**unanimous** -- When everyone on a jury or group agrees completely.

**hair-raising** -- Extremely frightening or shocking.

## Background you need

OpenAI was founded in 2015 as a non-profit by Elon Musk (the billionaire CEO of Tesla and SpaceX), Sam Altman, and others, with the goal of developing safe artificial intelligence for humanity.

In 2018, Musk left OpenAI's board over conflicts about the company's direction; the organization later created a for-profit subsidiary to attract investment.

After his departure, Musk started xAI, a competing AI company, while OpenAI's ChatGPT became one of the world's most popular AI tools, backed by Microsoft (a major technology corporation led by CEO Satya Nadella).

The lawsuit is part of a larger rivalry in the AI industry, where former allies are now competitors racing to dominate the technology, raising legal and ethical questions about how AI should be developed and controlled.

## Break it down

**LEAD:** A two-hour jury deliberation decisively ends a three-week tech drama.

+ specific: 'unanimous verdict... found that Musk had filed his claims after the legal deadline.'

**KEY EVENT:** Jury rejects Musk's lawsuit against OpenAI and Sam Altman.

+ WHO: Elon Musk (plaintiff) vs. OpenAI, Sam Altman (defendants)

+ WHAT: Musk accused Altman of betraying OpenAI's non-profit mission and looting a charity.

+ WHEN: Verdict delivered Monday, after a three-week trial.

**TENSION / VIEWPOINTS**

+ ONE SIDE: Musk's argument -- Altman reneged on a promise after taking \$38 million, destroying charitable giving.

+ OTHER SIDE: Altman and OpenAI's defense -- Musk supported the for-profit pivot and demanded long-term control.

**EVIDENCE:** Testimony from Altman about 'hair-raising' moment, and from Microsoft CEO Satya Nadella on aid claims (dismissed as a matter of law).

**OUTCOME:** OpenAI spokesman calls it a 'tremendous victory'; attorney says jury quickly found Musk was lying.

**OPEN QUESTION:** How will the continued fast-paced, controversial evolution of AI and its business models be governed?

## Why it matters

This case shows how personal rivalries and power struggles among tech leaders can shape the companies that create the AI tools you might use in school, work, and everyday life, and it raises questions about who can be trusted to develop technology safely and fairly.

## Test what you remember

1. **Why did the California jury reject Elon Musk's lawsuit?**
  - (A) They found Musk had waited too long to sue under the statute of limitations.
  - (B) They believed Musk had stolen charity money.
  - (C) They thought OpenAI should stay non-profit.
  - (D) They agreed with Musk's demand for control of the company.
2. **What was one of Elon Musk's main accusations against Sam Altman?**
  - (A) Altman stole \$38 million from a charity.
  - (B) Altman tried to make AI dangerous.
  - (C) Altman gave control of OpenAI to Microsoft.
  - (D) Altman demanded long-term control.
3. **According to Sam Altman's testimony, what did Musk demand?**
  - (A) That OpenAI remain a non-profit forever.
  - (B) Long-term control of the company.
  - (C) A partnership with xAI.
  - (D) An immediate \$38 million refund.
4. **Whose testimony supported OpenAI during the trial?**
  - (A) Satya Nadella, the CEO of Microsoft.
  - (B) Teri Boyungs, a rescue operator.
  - (C) John Ketchum, CEO of NextEra.
  - (D) Dan Marchand, founder of a sanctuary.
5. **What did OpenAI's attorney say the jury decided?**
  - (A) That the lawsuit was a tremendous victory.
  - (B) That Musk was lying about the company's origins.
  - (C) That the AI industry needs more regulation.
  - (D) That OpenAI should return to non-profit status.
6. **What type of company is OpenAI after the for-profit pivot?**
  - (A) A public benefit corporation.
  - (B) A capped-profit company.
  - (C) A fully non-profit charity.
  - (D) A shareholder-owned corporation without limits.

Answer key (try the quiz first!): 1: A 2: A 3: B 4: A 5: B 6: B

## Questions to think about

**1. Positive (for OpenAI):** The swift jury verdict clears OpenAI to continue its capped-profit path, allowing it to attract funding and develop AI that it claims will benefit everyone. Supporters argue that a hybrid model can balance innovation with safety, and the ruling confirms Musk's claims lacked legal merit.

**2. Negative / Critical:** Critics see the case as evidence that original non-profit missions in tech can be compromised, and that founders who donate early may lose voice. Some worry that without strong oversight, ethics can take a backseat to profit and control, and the lawsuit's failure may discourage future challenges.

**3. Neutral / Analytical:** The trial highlights a recurring pattern in the tech industry: nonprofit founders who later become competitors, with disputes revealing how blurred lines between altruism and business can lead to legal battles. The fight also reflects the broader tension between open research and commercial AI.

**4. Forward-looking:** The verdict may not end the feud, as Musk could appeal or use other channels. The case could spur calls for clearer rules in AI governance, so that future charitable projects don't become battlegrounds over control. Meanwhile, both OpenAI and xAI will continue competing, potentially accelerating AI advancements that could reshape society.

**MY THOUGHTS (at least 20 words):**